



A PROJECT REPORT

ON

(Financial Analysis of RBI)

Submitted in partial fulfillment for award of the degree of
Bachelor of Commerce

Submitted by

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Department of Commerce

Indira Priyadarshini Govt Degree College for Women, Nampally, Hyderabad

Re-Accredited with 'A' Grade by NAAC (3rd cycle)

(Affiliated to Osmania University)



DEPARTMENT OF COMMERCE
INDIRA PRIYADARSHINI GOVERNMENT DEGREE COLLEGE FOR WOMEN
NAMPALLY, HYDERABAD-(T. S)500001
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Date: _____

CERTIFICATE

This is to certify that the Project titled _____
_____, submitted to Department of
Commerce, Indira Priyadarshini Govt Degree College for women, Nampally,
Hyderabad, for the award of the degree of Bachelor of Commerce (CA), is a
record of bonafide research work done by _____,
_____,
and _____ under my guidance for the
academic year 2021-2022.

(Supervisor name & Signature)

(Signature of External Examiner)

(PRINCIPAL)

Place : Hyderabad

Date:

DECLARATION

We hereby declare that the Project Report titled _____ is a bonafide record of research work carried out by us under the guidance of _____, Department of Commerce, Indira Priyadarshini Govt Degree College for women, Nampally, Hyderabad and submitted for the award of the degree of Bachelor of Commerce for the academic year 2021-2022. The Project Report in full or part has not been submitted for any other degree or diploma.

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Date:

ACKNOWLEDGEMENT

RESERVE

BANK OF

INDIA

(RBI)



RBI (Logo)

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Unit-1:

Introduction

1.1 Introduction

RBI : The overall economic efficiency and the stability of a nation are dependent on the payment and settlement system prevailing in that country. As a result, the various regulators in India, including the central bank, have been regularly and consistently revising their operating models and policies to ensure and carry on the development of payment systems at the national level. These regulators are required to carefully safeguard the sanctity of payment systems, generally from systematic risks, the risk of fraud, etc. The responsibility of a central bank of any given country is to ensure and carry on the development of payment systems at the national level. In India, this responsibility is vested with the Reserve Bank of India (RBI)

Establishment : The Reserve Bank of India was established on April 1, 1935 in accordance with the provisions of the [Reserve Bank of India Act, 1934](#).

The Central Office of the Reserve Bank was initially established in Kolkata but was permanently moved to Mumbai in 1937. The Central Office is where the Governor sits and where policies are formulated. Though originally privately owned, since nationalisation in 1949, the Reserve Bank is fully owned by the Government of India.

Preamble: The Preamble of the Reserve Bank of India describes

the basic functions of the Reserve Bank as:

"to regulate the issue of Bank notes and keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage; to have a modern monetary policy framework to meet the challenge of an increasingly complex economy, to maintain price stability while keeping in mind the objective of growth."

1.2 History of RBI

Reserve

Bank of India is the central bank of the country. Central banks are

a relatively recent innovation and most central banks, as we know them today, were established around the early twentieth century.

The Reserve Bank of India was set up on the basis of the recommendations of the Hilton Young Commission. The Reserve Bank of India Act, 1934 (II of 1934) provides the statutory basis of the functioning of the Bank, which commenced operations on April 1, 1935.

The Bank was constituted to

- * Regulate the issue of banknotes
- * Maintain reserves with a view to securing monetary stability and
- * To operate the credit and currency system of the country to its advantage.

The Bank began its operations by taking over from the Government the functions so far being performed by the Controller of Currency and from the Imperial Bank of India, the management of Government accounts and public debt. The existing currency offices at Calcutta, Bombay, Madras, Rangoon, Karachi, Lahore and Cawnpore (Kanpur) became branches of the Issue Department. Offices of the Banking Department were established in Calcutta, Bombay, Madras, Delhi and Rangoon.

Burma (Myanmar) seceded from the Indian Union in 1937 but the Reserve Bank continued to act as the Central Bank for Burma till Japanese Occupation of Burma and later upto April, 1947. After the partition of India, the Reserve Bank served as the central bank of Pakistan upto June 1948 when the State Bank of Pakistan commenced operations. The Bank, which was originally set up as a shareholder's bank, was nationalised in 1949.

An interesting feature of the Reserve Bank of India was that at its very inception, the Bank was seen as playing a special role in the context of development, especially Agriculture. When India commenced its plan endeavours, the development role of the Bank came into focus, especially in the sixties when the Reserve Bank, in many ways, pioneered the concept and practise of using finance to catalyse development. The Bank was also instrumental in institutional development and helped set up insitutions like the Deposit Insurance and Credit Guarantee Corporation of India, the Unit Trust of India, the Industrial Development Bank of India, the National Bank of Agriculture and Rural Development, the Discount and Finance House of India etc. to build the financial infrastructure of the country.

1.3 : chain of command

The following is the chain of command among the Central Board of Directors of the RBI according to their ranks.

1. Governor
2. Deputy Governor
3. Executive Directors
4. Principal Chief General Manager
5. Chief General Managers
6. General Managers
7. Deputy General Managers
8. Assistant General Managers
9. Managers
10. Assistant Managers
11. Support staff

1.4 Objectives of RBI

The primary goals of the RBI according to the Preamble of the same are as follows.

- To regulate the issue of Banknotes.
- To secure monetary stability in the country.
- To meet the economic challenges by modernising the monetary policy framework.

The primary focus of the RBI is to supervise and undertake initiatives on behalf of the financial sector which consists of financial institutions, commercial banks, non-banking financial companies. A

few critical efforts of the RBI are to restructure bank inspections and fortifying the role of statutory auditors in the banking system.

1.5 Functions of RBI

The following are the functions of the Reserve Bank of India under various authorities.

Supervisory and Regulatory Authority

- To set specific parameters for the banks in the country. This would include financial operations within which the banking and financial systems are to function.
- To protect the interests of every investor and offer economic and cost-efficient banking services to the public.

Monetary Authority

- To formulate and implement the monetary policies of the country.
- To maintain stability in the prices across all the sectors along with the objective of growth.

Currency Authority

- To issue, exchange or destroy currency that is not fit for circulation.
- To provide adequate currency notes and coins of the standard quality to the public.

Foreign Exchange Management

- To oversee the Foreign Exchange Management Act, 1999.
- To facilitate the external trade and development of the foreign exchange market in the country.

Other Functions

- To promote and perform promotional functions to support national banking and other financial objectives.
- To offer banking solutions to the Central and State Governments.

- To act as a banker for the Central and State Governments.

1.6 RBI Methodology

Risk Based Inspection supports the following methodologies.

- **RBI 580:** This methodology is included in the Risk Based Inspection module.
- **RBI 581:** This methodology is implemented with the RBI 581 module.

The RBI 581 Methodology

After you conduct a RBI 581 Risk Analysis, if it is possible to mitigate risk at the component, RBI 581 will recommend inspection tasks that will, for a specified period, keep the projected risk below the thresholds. These thresholds are called Risk Targets. They are determined by your organization. If risk cannot be mitigated (i.e., inspections would not bring risk below the Risk Target values), the Risk Summary of the analysis provides a synopsis which will help determine the next course of action.

Based on the analysis results, if risk is mitigated, you can generate recommendations. This is to capture recommended actions and create non-recurring inspection tasks that must be completed in order to mitigate risk over the plan period.

The RBI 580 Methodology

After you conduct an RBI Criticality Analysis, if the risk values are unacceptable, you can analyze hypothetical scenarios using What If Analyses and Future Risk Analyses to see how additional actions or factors might affect the risk. For example, you might create a What If Analysis to see what the risk level would be if you changed the operating pressure. Or, you might create a Future Risk Analysis to see what the risk level might be in five years.

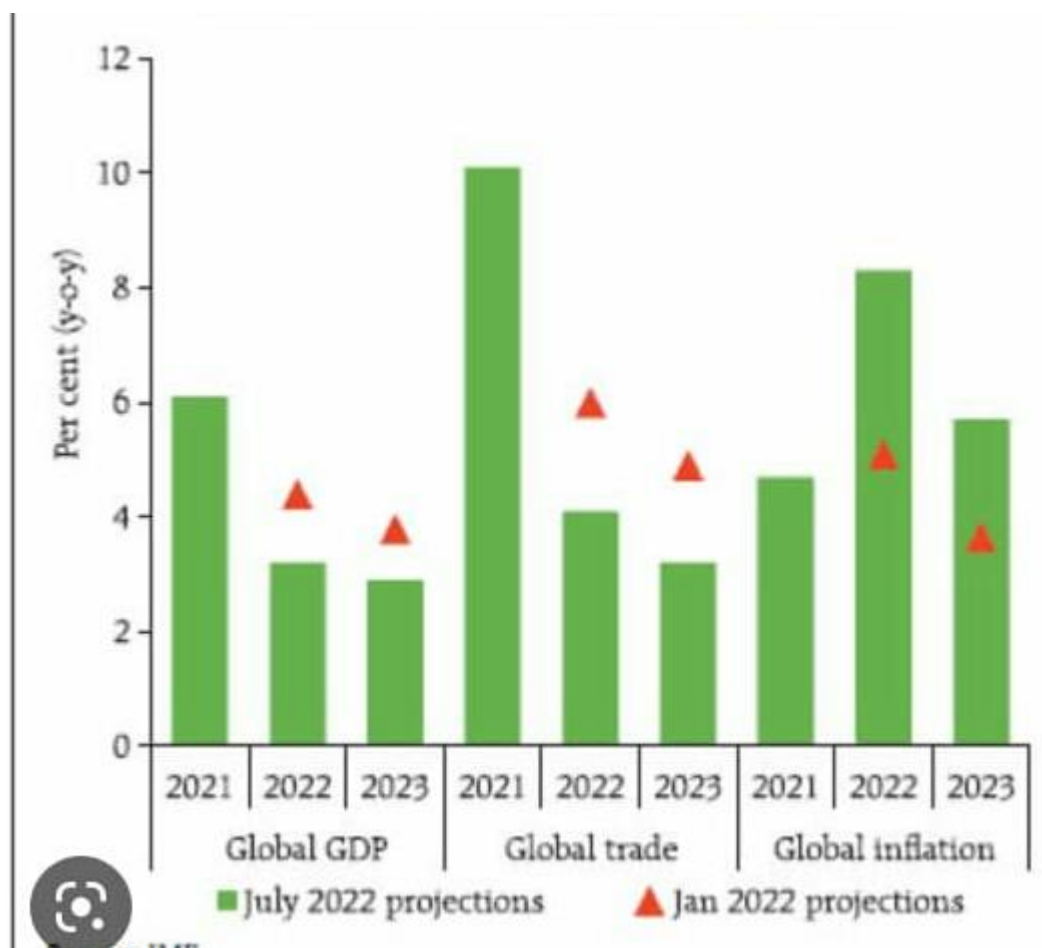
Based on the analysis results, you can create RBI Recommendations to capture recommended actions that might mitigate the risk associated with a component. You can then create Tasks or SAP Notifications from the RBI Recommendations to track the progress and ensure that the recommended actions are implemented.

After the recommended actions are implemented, you can cBoart another RBI Criticality Analysis to determine if the new operating procedures or environment have actually reduced the risk.

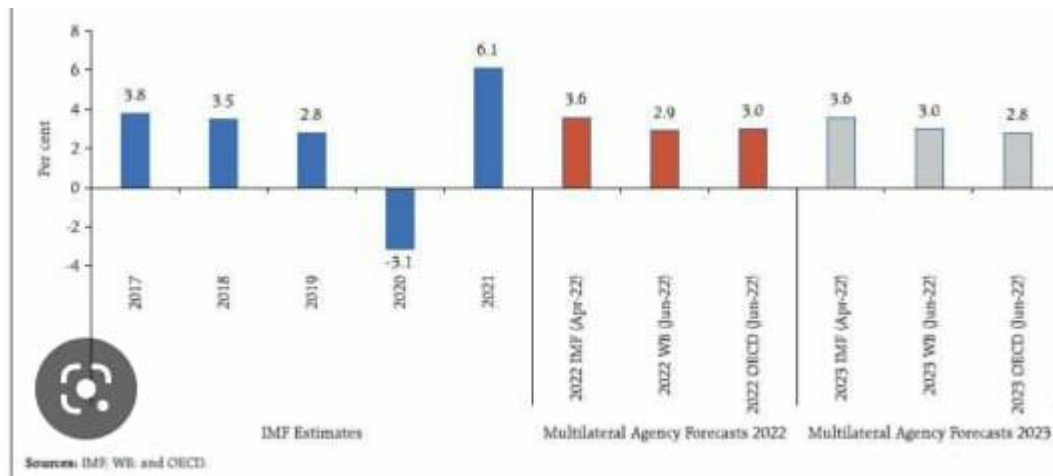
1.7 Statistical Analysis of RBI

Reserve Bank of India (RBI) **collects and analyses statistics on various economic transactions of banking and other financial institutions in the process of the conduct of monetary policy in India.**

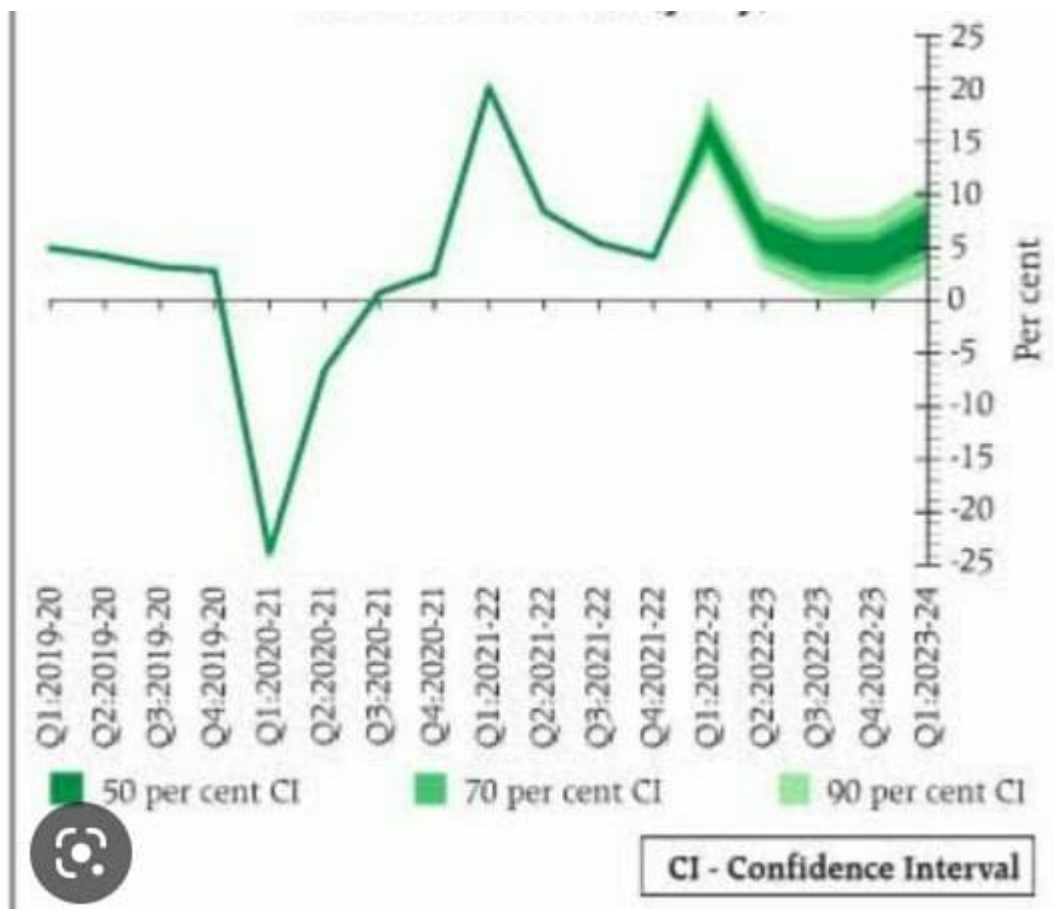
Global GDP and Inflation



Global GDP Forecast



Quarterly projection of real GDP growth (y-0-y)



Unit-2 :

Company

profile

2.1 Central Board:

The Reserve Bank's affairs are governed by a central board of directors. The board is appointed by the Government of India in keeping with the Reserve Bank of India Act.

- Appointed/nominated for a period of four years
- Constitution:
 - **Official Directors**
 - Full-time : Governor and not more than four Deputy Governors
 - **Non-Official Directors**
 - Nominated by Government: ten Directors from various fields and two government Official
 - Others: four Directors - one each from four local boards

Functions : General superintendence and direction of the Bank's affairs

Central Board of Director appointed/nominated under RBI Act, 1934		
Section of RBI Act	Sr. No.	Name
8 (1) (a)	1.	Shri Shaktikanta Das Governor
	2.	Shri Mahesh Kumar Jain Deputy Governor
	3.	Dr. M.D. Patra Deputy Governor
	4.	Shri M. Rajeshwar Rao Deputy Governor
	5.	Shri T. Rabi Sankar Deputy Governor
8 (1) (b)	6.	<u>Ms. Revathy Iyer</u>
	7.	<u>Prof. Sachin Chaturvedi</u>

8 (1) (c)	8.	Shri Satish Kashinath Marathe
	9.	Shri Swaminathan Gurusurthy
	10.	Shri Anand Gopal Mahindra
	11.	Shri Venu Srinivasan
	12.	Shri Pankaj Ramanbhai Patel
	13.	Dr Ravindra H. Dholakia
8 (1) (d)	14.	Shri Ajay Seth
	15.	Dr. Vivek Joshi

- [Profile of Central Board Directors](#)

Local Boards

- Constituted for Western Area, Eastern Area, Northern Area and Southern Area.
- Consist of five members each.
- Members appointed by the Central Government.
- Member shall hold office for a term of four years.

Functions : To advise the Central Board on local matters and to represent territorial and economic interests of local cooperative and indigenous banks; to perform such other functions as delegated by Central Board from time to time.

Names and Addresses of the Members of The Local Boards of The Reserve Bank of India

WESTERN AREA

EASTERN AREA

	Address: C/o Secretary to the Western Area Local Board The Regional Director	1.	Prof. Sachin Chaturvedi	Address: C/o Secretary to the Eastern Area Local Board The Regional Director Reserve Bank of India
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	Reserve Bank of India Main Building Shahid Bhagat Singh Marg Mumbai – 400 001		15, Netaji Subhas Road Kolkata – 700 001
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NORTHERN AREA		SOUTHERN AREA	
1.	Ms. Revathy Iyer	Address: C/o Secretary to the Northern Area Local Board The Regional Director Reserve Bank of India 6, Sansad Marg New Delhi - 110 001	Address: C/o Secretary to the Southern Area Local Board The Regional Director Reserve Bank of India Fort Glacis 16, Rajaji Salai Chennai - 600 001
*The four Local Boards are not functioning due to lack of quorum. A Standing Committee of Central Board is functioning in the areas where Local Boards are unable to function for want of quorum. Mumbai : Dated November 4, 2022			

Sitting Fees and Halting Allowance of Board Directors/Members

Sitting Fees and Halting Allowance paid to the Directors of the Central Board, Members of the Local Board and Directors attending CCB meetings			
Sr. No.	Type of the Meetings	Sitting Fees per meeting (in INR)	Halting allowance per diem (in INR)
1.	Central Board	60,000	1,200
2.	Local Board	60,000	1,200

3.	Committee of the Central Board (CCB)	30,000	1,200
Note: In addition, the travel and stay expenses towards attending Board/Committee/ Sub-Committee meetings are also borne by the Reserve Bank of India.			

Board for Financial Supervision

The Reserve Bank of India performs the supervisory function under the guidance of the Board for Financial Supervision (BFS). The Board was constituted in November 1994 as a committee of the Central Board of Directors of the Reserve Bank of India under the Reserve Bank of India (Board for Financial Supervision) Regulations, 1994.

2.2 Constitution

The Board is constituted by co-opting four Directors from the Central Board as Members and is chaired by the Governor. The Deputy Governors of the Reserve Bank are ex-officio members. One Deputy Governor, traditionally, the Deputy Governor in charge of supervision, is nominated as the Vice-Chairman of the Board.

April 2018, a Sub-committee of the Board for Financial Supervision was constituted, under Para 11 & 12 of the Reserve Bank of India (Board for Financial Supervision) Regulations, 1994. The Sub-committee performs the functions and exercises the power Framework and inspection under the Reserve Bank of India Act, 1934 and the Banking Regulation Act, 1949, in relation to Payments Banks, Small Finance Banks, Local Area

Banks, small Foreign Banks, select scheduled Urban Co-operative Banks, select Non-Banking Financial Companies and Credit Information Companies. The Sub-committee is chaired by the Deputy Governor in charge of supervision and includes the three Deputy Governors and two Directors of the Central Board as Members

2.3 BFS Meeting

The Board is required to meet normally once every month. It deliberates on inspection reports, periodic reviews related to banking and non-banking sectors and policy matters arising out of or having relevance to the supervisory functions of the Reserve Bank.

The BFS oversees the functioning of Department of Banking Supervision (DBS), Department of Non-Banking Supervision (DNBS) and Department of Co-operative Bank Supervision (DCBS) and gives directions on regulatory and supervisory issues.

Functions

Some of the initiatives taken by the BFS include:

- i. Fine-tuning the supervisory processes adopted by the Bank for regulated entities;
- ii. Introduction of off-site surveillance system to complement the on-site supervision of regulated entities;
- iii. Strengthening the statutory audit processes of banks and enlarging the role of auditors in the supervisory process;
- iv. Strengthening the internal defences within supervised institutions such as corporate governance, internal control and audit functions, management information and risk control systems, review of housekeeping in banks;
- v. Introduction of supervisory rating system for banks and financial institutions;

- vi. Supervision of overseas operations of Indian banks, consolidated supervision of banks;
- vii. Technical assistance programme for cooperative banks;
- viii. Introduction of scheme of Prompt Corrective Action Framework for weak banks;
- ix. Guidance regarding fraud risk management framework in banks;
- x. Introduction of risk based supervision of banks;
- xi. Introduction of an enforcement framework in respect of banks;
- xii. Establishment of a credit registry in respect of large borrowers of supervised institutions; and
- xiii. Setting up a subsidiary of RBI to take care of the IT requirements, including the cyber security needs of the Reserve Bank and its regulated entities, etc.

2.4 Legal Framework

Acts administered by Reserve Bank of India

- [Reserve Bank of India Act, 1934](#)
- [Public Debt Act, 1944/Government Securities Act, 2006](#)
- [Government Securities Regulations, 2007](#)
- [Banking Regulation Act, 1949](#)
- [Foreign Exchange Management Act, 1999](#)
- [Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 \(Chapter II\)](#)
- [Credit Information Companies\(Regulation\) Act, 2005](#)
- [Payment and Settlement Systems Act, 2007](#)
 - [Payment and Settlement Systems Act, 2007 As Amended up to 2019](#)
 - [Payment and Settlement Systems Regulations, 2008 As Amended up to 2022](#)
- [Factoring Regulation Act, 2011](#)

II. Other relevant Acts

- Negotiable Instruments Act, 1881
 - Bankers' Books Evidence Act, 1891
 - State Bank of India Act, 1955
 - Companies Act, 1956/ Companies Act, 2013
 - Securities Contract (Regulation) Act, 1956
 - State Bank of India Subsidiary Banks) Act, 1959
 - [Deposit Insurance and Credit Guarantee Corporation Act, 1961](#)
 - Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970
 - Regional Rural Banks Act, 1976
 - Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980
 - National Bank for Agriculture and Rural Development Act, 1981
 - National Housing Bank Act, 1987
 - Recovery of Debts Due to Banks and Financial Institutions Act, 1993
 - Competition Act, 2002
 - [Indian Coinage Act, 2011](#) : Governs currency and coins
 - Banking Secrecy Act
 - The Industrial Development Bank (Transfer of Undertaking and Repeal) Act, 2003
 - The Industrial Finance Corporation (Transfer of Undertaking and Repeal of Undertaking and Repeal) Act, 1993
-

2.5 Branches of RBI

RBI has **31 branches** in India. Mostly all are in Capital cities, exceptions are the Nagpur Reserve Bank branch which is actually a Second capital of Maharashtra and the Ahmedabad Reserve Bank branch. Nagpur Reserve Bank was established in 1956, while the Ahmedabad branch was established in 1950.



2.6 : Governor of RBI

Reserve Bank of India is the country's central bank. It is in charge of governing the country's monetary policy. On April 1, 1935, the RBI was founded under the RBI Act of 1934 on the recommendation of the "Hilton - Young Commission." It began as a privately held bank before being nationalized on January 1, 1949, after India's independence. The RBI is headquartered in Mumbai, but it was initially based in Kolkata before moving to Mumbai in 1937. The Government of India appoints the Governor of the Reserve Bank of India. The RBI has had 25 governors so far. The first governor of the RBI was Osborne Smith in 1935, and the present Governor is Shaktikanta Das.

RBI Governors Names Time Period 1935-2021

Sir Osborne Smith April 1, 1935 – June 30, 1937

Sir James Braid Taylor July 1, 1937 – February 17, 1943

Sir C.D. Deshmukh August 11, 1943 – June 30, 1949

Sir Bengal Rama Rau July 1, 1949 – January 14, 1957

K.G. Ambegaonkar January 14, 1957 – February 28, 1957

H.V.R Lyengar March 1, 1957 – February 28, 1962

P.C Bhattacharya March 1, 1962 – June 30, 1967

L.K. Jha July 1, 1967 – May 3, 1970

B.N. Adarkar May 4, 1970 – June 15, 1970

S. Jagannathan June 16, 1970 – May 19, 1975

N.C. Sen Gupta May 19, 1975 – August 19, 1975

K.R. Puri August 20, 1975 – May 2, 1977

M. Narasimham May 3, 1977 – November 30, 1977

I.G. Patel December 1, 1977 – September 15, 1982

Manmohan Singh September 16, 1982 – January 14, 1985

Amitav Gosh January 15, 1985 – September 4, 1985

R.N. Malhotra February 4, 1985 – December 22, 1990

S. Vpnlraramanan December 22, 1990 – December 21, 1992

C. Rangarajan December 22, 1992 – November 21, 1997

Bimal Jalan November 22, 1997 – September 6, 2003

Y.V. Reddy September 6, 2003 – September 5, 2008

D. Subbarao September 5, 2008 – September 4, 2013

Raghuram G. Raj an September 4, 2013 – September 4, 2016

Urjit Ravindra Patel September 4, 2016 – December 10,2018

Shaktikanta Das December 12, 2018 – to date



Unit-3: Data Analysis

And Interpretation

